

Discussion of Huang, Liu, Luo, & Wu: “No Interest” Advertising in High-Cost Consumer Credit Markets

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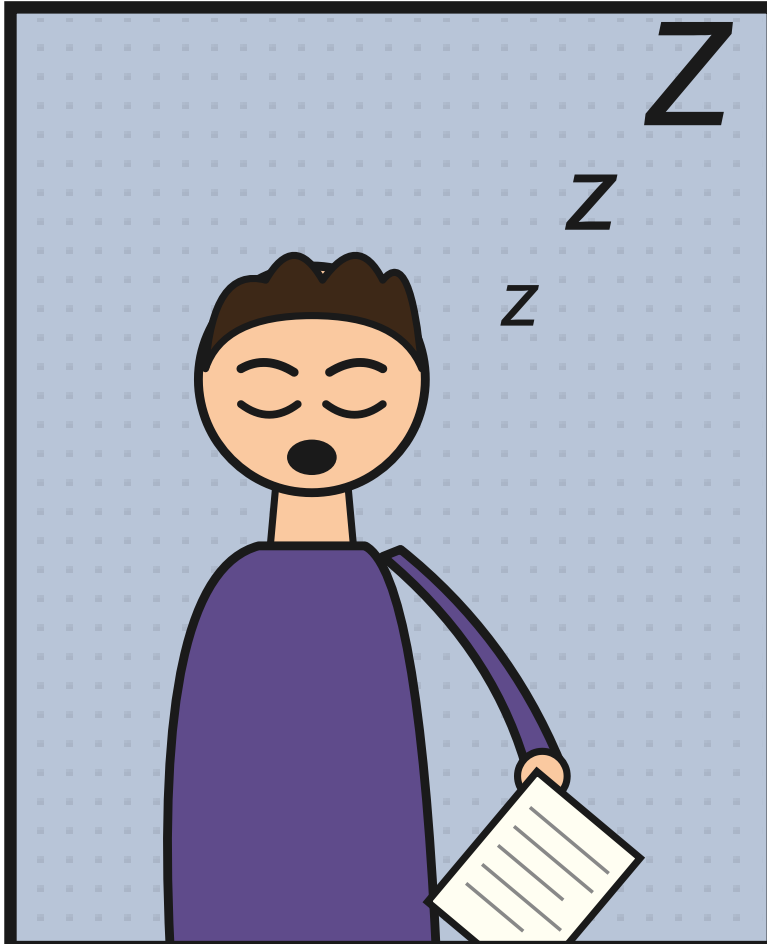


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Three potential outcomes for this paper



No interest



Some interest



Lots of interest

What are the effects of cash advance apps advertising as “No Interest” loans to consumers?

Main Data: Sensor Tower

- **Mobile app use** based on downloads & number of active users
- **Advertising data** daily ad share & raw ad (then code up in ML)
- Cash advance app **pricing structures** (Finder.com)

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Main Methodology and Key Result

- Use variation in ad impressions driven by campaign-spending commitments
- No Interest advertisements by cash advance apps cause  app usage (more downloads & more active users)

Survey Experiment

- Randomly vary “No Interest” advertising of cash advance products
- “No Interest” advertising  consumer understanding

Paper studies an interesting & topical subject

- Limited academic literature on online cash advance products / EWA
- Policy debate on interest-free advertising
 - CFPB interpretive rule (2024, 2025)
 - Court cases & state-level approaches
- Links to broader topic on teaser rates & shrouding “junk fees”
 - 0% introductory rate on credit cards
 - Adjustable-rate mortgages
 - Introductory higher rate on savings accounts/CDs

Paper can interest readers across marketing, economics, & finance

Beyond scope of this paper but...

How often and why do consumers tip their lender?

- Interesting to understand **tipping** in this context!
- Is Chase leaving money on the table?!
- Appears different to existing tipping literature

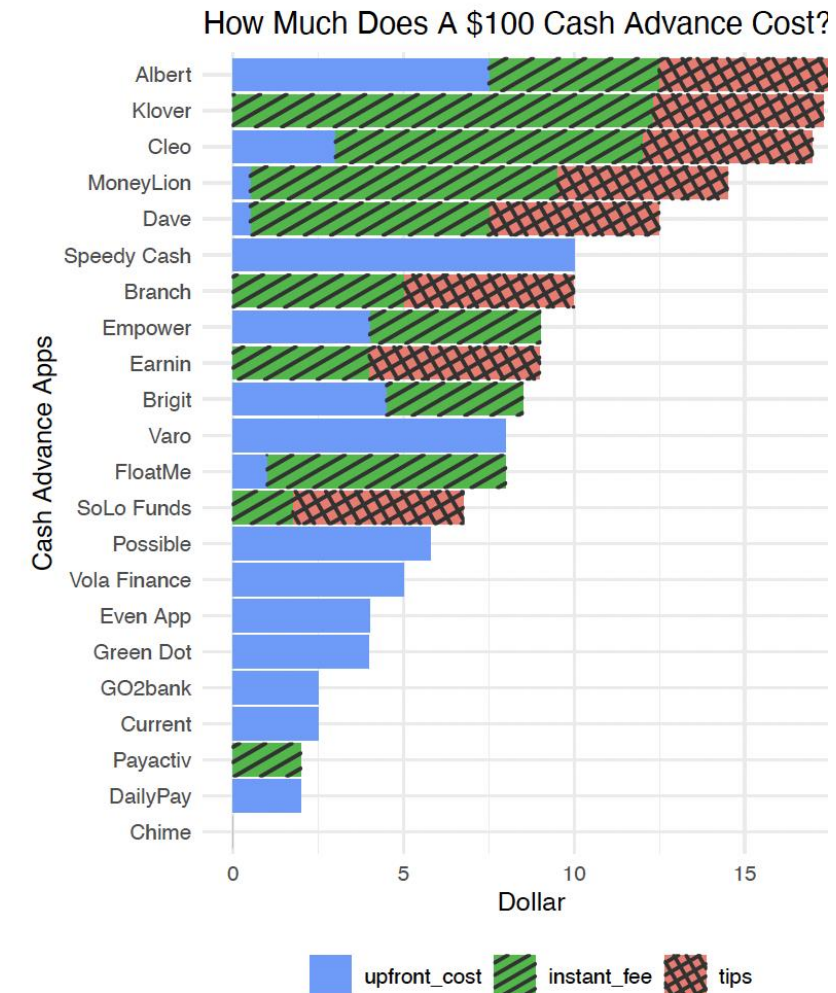
(Haggag & Paci, 2014; Azar, 2020;

Chandar, Gneezy, List, & Muir, 2019)

Reasons Given for Tipping

Reason for tipping	United States	Israel
1. Avoid feeling guilty	60.2%	13.3%
2. Avoid embarrassment	44.1%	23.2%
3. Tipping being a social norm	84.7%	58.1%
4. Show gratitude	67.8%	68.9%
5. Waiters depend on tips	66.9%	32.4%
6. Get poor future service if I don't tip	13.6%	2.5%
7. The waiter may yell at me if I don't tip	4.2%	0.0%
Total number of reasons	3.42	1.98
Number of observations	118	241

Source: Based on [Azar \(2010\)](#).



#1: Economic Outcome

Economic outcome of interest is loan use NOT app activity!

- App activity is a **proxy** for the outcome lenders care about
 - Active user measure is a black box measure that is hard to interpret
 - Expect substantial **attrition** between proxy and **downstream outcome**
- Advert  Download App  Make Application  Complete Application

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Advert  Download App  Make Application  Complete Application
- Need to demonstrate **relationship** between **app downloads/activity** vs. **purchases**
 - Especially important as some of these firms have multiple product offerings
 - Validate this (even in other sectors?) (Shapiro, Hitsch, Tuchman, 2021)
- For marketing audience, app downloads/activity could be the objective that firm's marketing group is maximizing?

#2: Disclosure

Survey experiment order is inconsistent with consumer experience

Order in Survey Experiment:

1. App description
2. Advertisement
3. Test understanding

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Order in Decision:

1. Advertisement
2. App description

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Order in Survey Experiment:

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Order in Decision:

1. Advertisement
2. App description
3. Pre-contractual disclosure (Regulation Z / Truth in Lending Act)
 - **Understanding at this stage is key: the purchasing decision!**
 - **Test TILA disclosure! Class action lawsuits, different approaches across states**
 - **Extend your data to study CFPB interpretive rule (July 2024) & reversal (Dec. 2025)**

Are advertising regulations and pre-contractual disclosures complements or substitutes?

Challenges of regulating advertising

- Advertising is increasingly challenging to monitor
 - TV, radio, social media, and paid influencer partnerships
- Advertising is harder to regulate than consumer finance disclosures
 - Requires more judgment

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Compare to disclosures

- Disclosures may not be read or understood
- Consumer finance disclosures are not designed for a digital world
- Easier to monitor whether disclosures are provided in format required

Could you speak to this bigger issue with your global data?

- Very different regulatory regimes across countries that may change over time

#3: Consumer Understanding

Results show a very high rate of consumer understanding that the product is not zero cost

- Misunderstanding changes from 1.7% (Control) to 10.6% (No Interest)
- Overwhelming majority (89%) **understand that the product is not free**

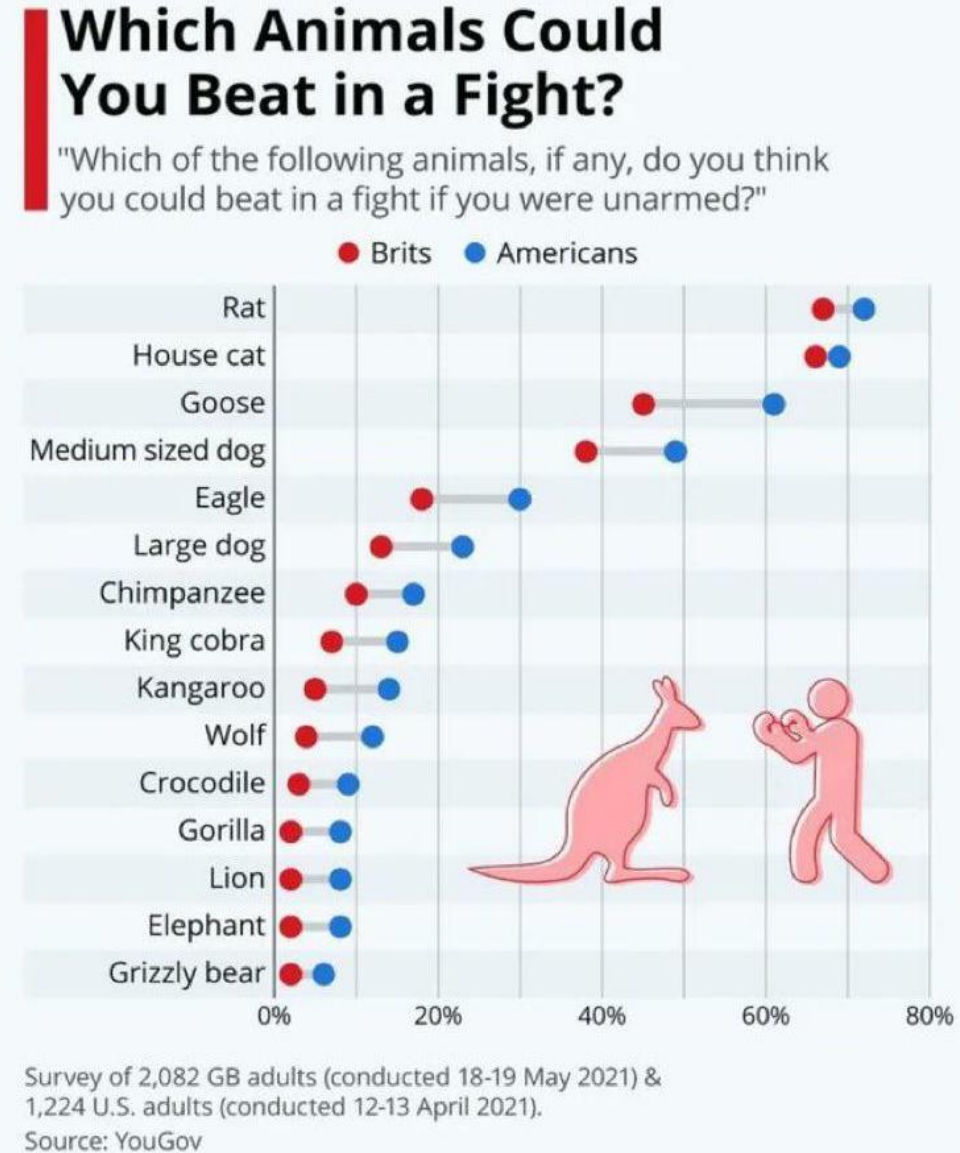
	dollar cost average	dollar cost =\$0
No interest ads	-2.268*** (0.610)	0.089*** (0.019)
Other ads	-0.706 (0.615)	0.025 (0.019)
Baseline	14.469*** (0.432)	0.017 (0.013)
Observations	868	868

Benchmarking 10.6% of Americans

- Americans (%) answering “big 3” financial literacy questions incorrectly:
16% Interest , 21% Inflation, 17% Risk
(Lusardi & Mitchell, 2020)

Benchmarking 10.6% of Americans

- Americans (%) answering “big 3” financial literacy questions incorrectly:
16% Interest , 21% Inflation, 17% Risk
(Lusardi & Mitchell, 2020)
- Americans (%) who think that they could beat a Wolf/Crocodile in an unarmed fight



Thank You!

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Bonus Content:

What makes an effective advertisement?

- **Salient** hook for inattentive consumers
- **Informs/reminds** consumers about a brand/product
- **Memorable**
- Advertisement content may be orthogonal to the product itself

Example 1

Example 2

Example of an effective advertisement



Other comments

- I would find it helpful to know how this paper fits into the marketing literature
- Do I need to download the app for all these lenders? Or can I just purchase on their website?
- You argue field experiment is not feasible. But these firms will be running A/B tests of their adverts. The data exists!
- You argue that most of the effects are not due to different adverts targeting different types of customers. This seems strange to me as many of these firms seem to be AI/ML-based so I would expect them to be more sophisticated. This is also very different from credit card marketing which is highly targeted.
- Focus is comparison to payday loans, but larger literature shows limitations of consumer finance disclosures. For example, credit card disclosures (Agarwal et al., 2015; Seira et al., 2018)
- Have pricing structures changed over time?
- A lot of weight in paper given to how number of active users respond. But if this advertisement is a salient reminder, it has nothing to do with learning about no interest. I do not think that you can say anything about learning. To evaluate learning you need to observe repeat observations for the same individual.
- On page 26, you say that the results appear to be primarily driven by expanding app usage. However, this seems inconsistent with your broader story that most of the effects of the advertisements are due to increasing active users.
- I needed more institutional detail on how committed expenditures worked, ideally with some data to back this up. I had to read the Shapiro paper to understand and be convinced.
- Overall, I am worried about confounders between No Interest vs. other advertisements. Are these comparing good vs. bad advertisements? For example, in figure 6 there is nothing to reflect the quality or memorability of the advertisements, so these are potentially very important omitted variables correlated with the No Interest advertisement feature. Suggest using LLMs to control for these characteristics. Is there a way to narrow down to more similar Interest vs. No Interest advertisements? Another idea here would be to compare multiple No Interest advertisements, where they vary in how salient this No Interest component is. I am trying to work out what is just an ad being salient compared to leading the customer with information.
- The products in your sample have quite different structures, potentially different customer bases. For example, I would be surprised if SpeedyCash and Earnin have same customer bases.